

US Dollar

October 2026 outlook: firm into the FOMC, fraying beyond it

Analyst: Valeriy Sinko · Data as of 28 Sep 2026 · Issue 1

1 TO 3 MONTHS
USD bullish

6 TO 12 MONTHS
Neutral

1 TO 3 MONTH OUTLOOK

Bullish USD: markets are failing to price further Fed hikes.

PRICED 72% odds of a 25bp hike on 28 Oct ($\approx +18$ bp; CME FedWatch, 28 Sep), but only [$\sim 30\%$] for a second by December. The Fed's median projects 4.1% by year end: one more hike, then a pause.

VIEW **The Fed hikes more than priced.**

- **Fed:** 16 of 18 officials expect another hike; the 2026 median rose from 3.8% to 4.1% (SEP, 16 Sep); Warsh: inflation "too high for too long".
- **Inflation:** CPI 3.4%, core $+0.3\%$ m/m (BLS, Aug); Brent near \$107; consumers expect 4.6% (UMich, Sep).
- **Jobs:** payrolls $+162$ k vs $+53$ k expected; unemployment 4.1% (BLS, Aug); the economy can bear tighter policy.

POSITIONING DXY net longs $+10,330$ (CFTC, 22 Sep), $z \approx +1$: moderately long, not crowded. But euro shorts nearly doubled to $-52,334$: our trade is getting popular.

CHANGE OUR MIND Payrolls under 50k (2 Oct) or core CPI $\leq 0.2\%$ m/m (14 Oct); a hold on 28 Oct; an Iran ceasefire taking Brent below \$90. A dovish surprise could squeeze euro shorts, lifting EUR/USD sharply.

6 TO 12 MONTH OUTLOOK

The rate premium is fully priced; a widening deficit and rich valuation cap the dollar, with El Niño the upside risk.

PRICED Futures $\sim 4.3\%$ by December, with hikes into 2027 above the Fed's 4.1% median (SEP); 5y breakevens at 2.34% price benign inflation.

VIEW **Two drivers for, two against.**

- **Real rates (+):** $+0.5\%$ real; a 1.54 pt premium over the DXY basket, but priced.
- **Terms of trade (+):** a super El Niño ($>90\%$, NOAA) hits food importers (JPY) and wheat exporters (AUD) harder than the US.
- **Balance of payments (–):** deficit widened to 3.0% of GDP (BEA, Q2) as foreign inflows slowed to \$83.7bn in July from \$133.5bn (TIC).
- **Valuation (–):** REER 114, near its record; $\sim 17\%$ rich to EUR on PPP.

WHERE WE DISAGREE Markets extrapolate hikes into 2027; with 1.5% growth and a widening deficit, the Fed under-delivers.

CHANGE OUR MIND El Niño pushing core PCE above 3.5% into 2027, forcing the Fed to deliver; or a narrowing deficit.

Real rates +

Terms of trade +

Balance of payments –

Valuation –

Dollar smile $\pm$

INDICATORS PANEL

DXY spot (25 Sep)	100.97
DXY 3m forward	100.58
Fed funds (16 Sep)	3.75–4.00%
Policy gap vs DXY basket	+1.54 pts
Policy gap vs EUR (trade)	+1.375 pts
Next FOMC · priced	28 Oct: 72%
2y Treasury; 1m chg	[4.81%] · +47bp
CPI vs 2% target (Aug)	3.4% (+1.4 pts)
Current account (Q2)	–3.0% of GDP
Valuation: REER (May)	114.0
CFTC DXY net (22 Sep)	+10,330

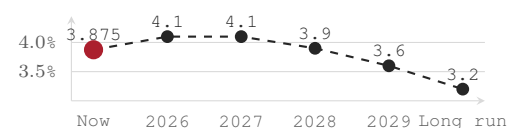
TRADE IDEA

Sell EUR/USD (long USD), spot

Entry	1.1400
Stop	1.1550
Target	1.1100
Reward : risk	2.0 ; 2.3 after carry
Size	1% risk; $\sim$ EUR 667k
Catalysts	2 Oct NFP, 14 Oct CPI, 28 Oct FOMC
Horizon	Short dated; exit after 28 Oct

CHART 1

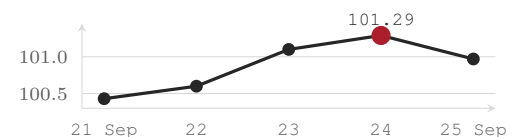
The Fed's own path shows the rate premium peaking in 2027



Fed funds midpoint now vs median projections. Source: FOMC Summary of Economic Projections, 16 Sep 2026.

CHART 2

The dollar rallied into the hike, back to July highs



DXY daily close. Source: Portfolio Terminal, 25 Sep 2026.

FORECASTS AGAINST THE FORWARD

Pair	Horizon	Spot	Forward	Our forecast	Against the forward
EUR/USD	3 months	1.1403	1.1442	1.1200	USD stronger than the forward
EUR/USD	12 months	1.1403	1.1556	1.1600	In line with the forward
DXY	3 months	100.97	100.58	101.80	USD stronger than the forward

Forwards use policy rates as a proxy (USD 3.875%, EUR 2.50%, DXY basket 2.33%). Sources: Fed, ECB, BLS, BEA, US Treasury, NOAA, UMich, CME, CFTC, BIS/FRED; data 16–28 Sep 2026. [Brackets]: to verify. Student research; not investment advice.